COMPENDIUM #55

WHY A RICH COUNTRY HAS MILLIONS IN POVERTY

Trevor Swistchew — Compendium #55

> *An Examination of the UK.*

The United Kingdom remains one of the world's largest economies. It is home to major financial institutions, multinational corporations, valuable natural resources, and one of the world's leading financial centres in London. Yet despite this wealth, millions of people continue to experience poverty, food insecurity, and fuel poverty.

The existence of hardship in a wealthy country raises an obvious question: how can a nation capable of generating enormous wealth leave millions unable to achieve financial security?

The available evidence shows that poverty remains widespread throughout the UK. According to UK Poverty 2025 published by the Joseph Rowntree Foundation, more than one in five people in the United Kingdom were living in poverty. [1] [2]

The report states: “More than 1 in 5 people in the UK (21%) were in poverty in 2022/23 14.3 million people.” [1] [2]

The same report found that 8.1 million working-age adults, 4.3 million children, and 1.9 million pensioners were living in poverty. [1] [2]

“Three in every ten children in the UK are living in poverty.”

Joseph Rowntree Foundation, UK Poverty 2025 — 4.3 million children facing deprivation in one of the world's leading economies.

These figures do not prove any single political cause. They demonstrate that economic growth and national wealth have not eliminated poverty for a substantial section of the population.

Financial insecurity extends beyond poverty statistics alone. The Joseph Rowntree Foundation reports that low income households are significantly more likely to possess little or no savings and to face high levels of debt. This means that many households have little financial resilience when confronted with unexpected costs such as illness, unemployment, rent increases, household repairs, or rising utility bills.

Evidence of hardship can also be seen in food insecurity. According to Hunger in the UK 2025 published by Trussell, hunger remains widespread across the country. [3] The report states that 14.1 million people were food insecure and that one in six households experienced food insecurity. It also found that 6.5 million people turned to charitable food providers for assistance. [3]

“Today's figures show that too many people across the UK are still being pushed to the brink.” — Helen Barnard, Director of Policy and Research at Trussell

The scale of food bank use has become one of the most visible indicators of hardship. Figures released by Trussell in 2026 reported that more than 2.6 million emergency food parcels were distributed during

2025. Food bank use remained 45% higher than before the pandemic. [4]

Families with children were among those most affected. The report found that families with children received 62% of all food parcels despite representing a smaller share of the overall population. [4] The same publication identified growing hardship among older people, reporting that support provided to people aged sixty-five and over had increased by 247% between 2019 and 2025. [4]

Helen Barnard, Director of Policy and Research at Trussell, stated: “Today's figures show that too many people across the UK are still being pushed to the brink.” [4]

Housing and energy costs remain important concerns for many households. Official government figures published in the Annual Fuel Poverty Statistics Report 2026 estimated that 2.36 million households in England were living in fuel poverty in 2025. [5]

The same report found that approximately 30.4% of households were required to spend more than ten percent of their income after housing costs on energy expenses. [5]

Behind these figures lies a practical reality. For many households, high energy costs mean difficult decisions regarding heating, food, and other essentials. The statistics themselves cannot describe every individual experience, but they demonstrate that fuel affordability remains a serious issue for millions.

The evidence also shows that hardship is not confined to a small minority. According to the Joseph Rowntree Foundation, seven million families were going without essentials as the decade progressed. [2]

This combination of poverty, food insecurity, limited savings, fuel poverty, and reliance on support has generated continuing political debate about economic priorities and policy. Different political movements propose different explanations. Some argue for tax reform, some advocate higher wages, some favour stronger social security systems, and others emphasise economic growth and job creation.

The statistical evidence cannot determine which solution is correct. What it does establish is that large numbers of people continue to experience hardship despite living in one of the world's wealthiest economies.

“More than 14 million people in poverty, millions experiencing food insecurity, millions lacking savings, millions struggling with energy costs, and millions relying upon charitable food support are all findings recorded by major charities, researchers, parliamentarians, and government statistical bodies.”

More than 14 million people in poverty, millions experiencing food insecurity, millions lacking savings, millions struggling with energy costs, and millions relying upon charitable food support are all findings recorded by major charities, researchers, parliamentarians, and government statistical bodies. [1] [2] [3] [4] [5]

Whatever explanation one adopts, these figures reveal a profound challenge facing the UK.

The central question remains whether future governments can reduce hardship and ensure that a greater share of the country's wealth and economic success reaches ordinary citizens.

Copyright — Trevor Swistchew 2026. All rights reserved. — Compendium #55